The Economic Survey noted the dominant role the private sector could play in terms of driving employment and incomes. In line with this view, the government has incentivised the private sector.

▶ **MISHRA:** With India's GDP more than a year behind where it would have been if the pandemic had not occurred, there is significant slack in the labour market. This means that more than one year of workers joining the workforce are surplus, and this in turn is also reducing the pricing power for workers, keeping real wage growth very low. The announcement of employment-linked incentive schemes was an acknowledgement of this challenge. However, the government wisely refrained from shortcuts like trying to create jobs itself by expanding the size of the government. The extra ten thousand crores allocated for these schemes should help formalise a few million jobs. But to make substantial changes over the medium term, the government needs to create the right environment for private sector investment, and reduce the compliance burden for entrepreneurs to flourish. The boost in construction, with the revival of the real estate market, can also help create jobs at scale.

▶ **SABNAVIS:** There is a direct push given to job creation in the private sector. The incentive being given for first-time employees benefitting both the worker and employer is an example of this effort. Also, the support being given to MSMEs to invest more will lead to more jobs in the course of time. Specific incentives given to some industries in the energy sector, housing and inclusive development involving four states will also generate employment. Hence, there is both direct and indirect push.

▶ **NAYAR:** One of the highlights of the budget is the focus on employment and skilling. The finance minister has announced a multi-year package amounting to Rs 2 lakh crore for employment-linked incentives. This has multiple schemes which include benefits such as wage subsidies to first-time workers in the formal sector, incentives covering EPFO payments by employers and employees in the manufacturing sector, reimbursement of EPFO contributions of employers that increase their employee count, and allowances to facilitate internships by corporates. The execution of these measures could provide significant job opportunities over the medium term.

Additionally, the continued focus on infra creation, amid the sizeable capex allocation, also augurs well for job creation, with the construction sector being the second largest employer in India (after agriculture). Moreover, a sharp hike in the PM Awas Yojana allocation to Rs 85,000 crore in FY25 Budget Estimates (BE), from Rs 54,000 crore in FY24 Revised Estimates (RE), will support employment generation in rural and urban areas.

> "The budget has done well to signal a pivot toward human capital spending and not just infra spending"
>
> –AJIT RANADE

and addressing nutrition needs, not just calories. The budget has done well to signal a pivot toward human capital spending and not just infra spending.

▶ **JOSHI:** The budget highlights these in its list of priority sectors. For fiscal 2025, it earmarks Rs 1.48 lakh crore for education, skilling and employment. Health and education are largely in the domain of states.

▶ **MISHRA:** Education and healthcare are primarily state subjects, though the Centre too spends a reasonable sum on the sectors. The budget speech highlighted skilling and inclusive growth as priorities for the government over the next five years.

▶ **SABNAVIS:** These are concurrent subjects and require states to also do their bit. From the central level, adequate effort has been put within the realm of the budgetary goals of fiscal prudence. The interest subvention for education loans is a direct measure. Customs relaxation for some medicines and equipment can be positive props for the health sector. This is besides the allocation for various schemes which cumulate to around Rs 2.1 lakh crore for both the sectors/ministries.

▶ **NAYAR:** Given the under-penetrated healthcare